

MANAGEMENT REVIEW

Management without theatre.

STRATEGY

WHY STRATEGY GETS LOST IN THE MIDDLE

What happens between the plan and the work: managers who cannot name the priorities, units that cannot rely on each other, and five myths about execution.



28%

of the executives and middle managers responsible for executing strategy could list three of their company's strategic priorities.

MIT SMR, 2018

INSIDE

COVER STORY

97% said they understood the strategy

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THE NUMBERS

Managers rely on their boss, not on the other units

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The priority card

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NO. 03 · STRATEGY

In this issue

A strategy can be clear at the top and still never reach the work. This issue looks at where it gets lost: in the middle, between the people who decide it and the people who carry it out.

In studies published since 2015, Donald Sull and colleagues have surveyed thousands of managers. Their findings point the same way. Many managers cannot name the priorities of their own company. Most can rely on their boss and their team, but far fewer on the other units they depend on. And the researchers warn that alignment from the top is not the same as coordination across the organisation.

Stiven Janaqi EDITOR · STIVEN CATALYST

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HOW TO READ THIS ISSUE

Figure

Every figure has its source and year at the foot of its page.

Our reading

Where the editors interpret rather than the research, it says so.

Practice

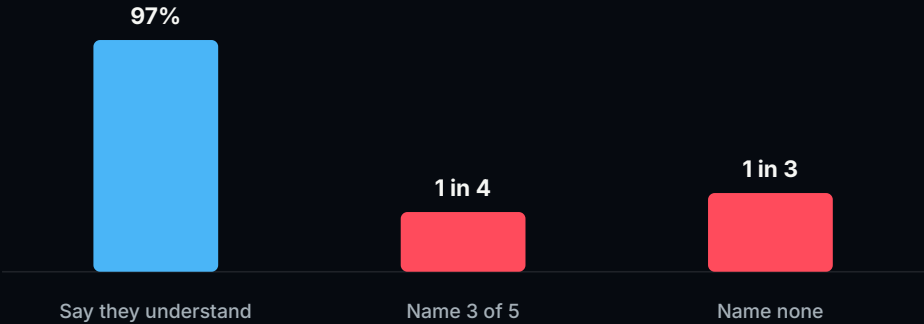
The steps and the card are proposals to try, not research results.

COVER STORY

Everyone says they understand

In a large technology company, which the researchers call Generex, almost all senior leaders said they understood the priorities. Then the managers were asked to name them.

GENEREX: SAYING AND KNOWING



The first bar counts the senior leaders, the other two the managers who implement the strategy. The same researchers then looked at 124 organisations: only 28% of the executives and middle managers responsible for execution could list three of their company's strategic priorities.

OUR READING

A strategy does not get lost because people reject it. It gets lost because it does not arrive clearly at the people who make the daily decisions.

Source: Charles Sull, Donald Sull & James Yoder, MIT Sloan Management Review, 2018

THE NUMBERS

Up and down it works, sideways it does not

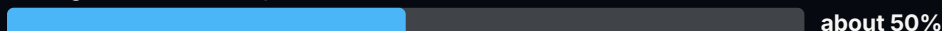
In the survey of nearly 8,000 managers in more than 250 companies, the chain of command held. The links between units did not.

MANAGERS WHO CAN RELY ON...

their boss and direct reports, always or mostly



colleagues in other units, most of the time



colleagues in other units, always

**1 in 3**

of about 11,000 managers in 400+ organisations named the top three priorities correctly (LBS, 2015)

8%

of leaders were rated very effective at both strategy and execution (about 700 executives, 2013)

124

organisations in the 2018 study of priorities

OUR READING

Most work that matters crosses a unit boundary: the warehouse and transport, reception and housekeeping. Where reliance stops at the boundary, the strategy stops there too.

Sources: Donald Sull, Rebecca Homkes & Charles Sull, Harvard Business Review, 2015; London Business School (Rebecca Homkes & Donald Sull), 2015; Paul Leinwand, Cesare Mainardi & Art Kleiner, Harvard Business Review, 2015; Charles Sull, Donald Sull & James Yoder, MIT Sloan Management Review, 2018

THE MODEL

Five myths about execution

Sull, Homkes and Sull named five beliefs that make execution look simpler than it is. The column on the right is our summary of what they propose instead.

01	Execution is alignment	The harder part is coordination across units, not only from top to bottom.
02	Execution is sticking to the plan	The plan has to adapt when reality changes, without losing its direction.
03	Communication is understanding	A message that was sent is not yet a message that was understood.
04	A performance culture drives execution	It also needs to reward agility, teamwork and ambition.
05	Execution is driven from the top	It depends on distributed leaders: middle managers and experts close to the work.

HYPOTHETICAL EXAMPLE, A HOTEL

Reception and housekeeping both have clear goals that fit the plan. When a group arrives early, nobody has agreed which rooms are made ready first. The alignment is there; the coordination is missing.

OUR READING

Each myth puts the problem at the top or in the plan. The research puts it where the units meet.

Source: Donald Sull, Rebecca Homkes & Charles Sull, Harvard Business Review, 2015

[More in the essay](#)

[Mistakes get lost between departments](#)

DEVELOPING THE ROLE

The middle manager as the joint

If execution depends on distributed leaders, the middle manager is not a messenger between the top and the floor. They are the place where the strategy becomes decisions.

1

Translate

Turn each priority into what it means for your team this month, in their words.

2

Choose what not to do

A priority without something set aside is only one more task.

3

Agree with the other units

Name the unit you depend on most and agree what each side delivers, and by when.

4

Check understanding

Ask the team to say the priorities back, instead of asking whether they are clear.

HYPOTHETICAL EXAMPLE, A STORE

The company wants more returning customers. For the store this month, that means no advertised item missing from the shelf. The new window display waits. The central warehouse warns a day ahead about shortages, and on Friday each salesperson says the priority in their own words.

OUR READING

“Is that clear?” almost always gets a yes. “Tell me what we are doing first this week” shows whether it is.

The four steps are a practice proposed by the editors.

HOW IT IS MEASURED

Has the strategy arrived?

The researchers did not ask managers whether the strategy was clear. They asked them to write the priorities down. You can do the same in your team.

1

Ask in writing

Each person writes down, without notes, the three priorities of the team or the company.

2

Count the matches

How many people name the same three? How many name at least one?

3

Ask about the other units

For each unit you depend on: can we rely on them always, most of the time, sometimes, rarely?

4

Repeat after a quarter

The number to watch is the share who name the same three.

HYPOTHETICAL EXAMPLE, EIGHT MANAGERS

Three name the company's three priorities, four name only one of them, one names none. Three out of eight is fewer than half: the next meeting starts from the three priorities, written on the board. The numbers are invented.

OUR READING

If fewer than half name the same three priorities, the next meeting is not about new goals. It is about the ones you already have.

A practice proposed by the editors, after the method of the 2018 study.

TOOL OF THE ISSUE

The priority card

One page for one quarter. Fill it in with your team, then compare it with the card of the unit you depend on most.

01 Our three priorities in the team's words

02 What we will not do so that the three can happen

03 The unit we depend on most and what we need from it

04 What we deliver to them and by when

05 How we check understanding who asks, when, and how

06 Review date, and the share who named the same three

A practice proposed by the editors. Do not write confidential plans or figures on the card.

SOURCES AND METHOD

Every figure has a source.

The figures in this issue come from the sources below. The year shows how recent each one is.

No One Knows Your Strategy — Not Even Your Top Leaders

Charles Sull, Donald Sull & James Yoder, MIT Sloan Management Review, 2018

<https://sloanreview.mit.edu/?p=55347>

Why Strategy Execution Unravels—and What to Do About It

Donald Sull, Rebecca Homkes & Charles Sull, Harvard Business Review, 2015

<https://hbr.org/2015/03/why-strategy-execution-unravels-and-what-to-do-about-it>

Two thirds of senior managers can't name their firm's top priorities

London Business School (Rebecca Homkes & Donald Sull), 2015

<https://www.london.edu/news/two-thirds-of-senior-managers-cant-name-their-firms-top-priorities>

Only 8% of Leaders Are Good at Both Strategy and Execution

Paul Leinwand, Cesare Mainardi & Art Kleiner, Harvard Business Review, 2015

<https://hbr.org/2015/12/only-8-of-leaders-are-good-at-both-strategy-and-execution>

EDITORIAL METHOD

Each figure was checked for its year, its publisher and what exactly it measures. Where the publisher's page could not be opened, the figure was checked against independent summaries and is marked “via”. The editors' interpretation is marked “Our reading”. Figures that could not be confirmed are not in the issue.



MANAGEMENT REVIEW

Management without theatre.

Every issue, one management question, checked against the best research.

ALL ISSUES

stivencatalyst.com/magazine/management-review.html